SITE SURVEY · DRAFT FOR CLIENT REVIEW · 9 NOVEMBER 2026

Virginia Natural Gas, Peninsula Headquarters Site Survey

Prepared for Virginia Natural Gas by CIVITAS CRES. This survey documents the three Newport News properties that best meet the location criteria VNG has expressed for a consolidated Peninsula headquarters, the screening that produced them, how each performs against those criteria, and the work underway to bring each under control. Owner outreach has begun on all three.

Market: Newport News, Virginia · Oyster Point and City Center submarket

Program: 10 to 15 acres, office and commercial zoning, within the City Center and Port Warwick amenity area

1. Client criteria

VNG has asked for a headquarters site that keeps the Peninsula team as close as possible to the City Center area of Newport News, near the restaurants and shopping of City Center at Oyster Point and Port Warwick, and near the company's existing Newport News office at 746 Diligence Drive. The site should be 8 acres at minimum and preferably 10 or more, carry office or commercial zoning so that a headquarters is a by-right use, and be non-residential in character. A site with an existing structure is acceptable if the land fits and the structure can be removed.

ACREAGE TARGET	LOCATION	ZONING
10 to 15 acres; 8-acre floor	City Center / Port Warwick amenity area; near 746 Diligence Dr	Office or commercial by right; no residential districts

ACCESS	BUILDING PROGRAM	PARKING AND YARD
Interstate 64 within minutes; arterial frontage	About 80,000 to 160,000 SF of two- to three-story office	Surface parking at 4 per 1,000 SF; optional secured fleet and materials yard

2. Screening summary

Twenty-seven parcels and tracts of 8 acres or more in Newport News and Hampton were identified from city and Economic Development Authority inventories, state site databases, brokerage listings, and owner-held land not on the market. Twenty-four were eliminated for one or more of the following reasons: residential zoning; distance from the City Center area (all Hampton sites, the airport corridor, and the northern end of Newport News); industrial park character unsuited to a headquarters address; waterfront brownfield condition requiring remediation; lease-only tenure on public or federal land; or an occupied improved parcel whose owner has no reason to sell. The three remaining sites are all in Newport News, all within about three miles of City Center, and all carry commercial zoning that permits a headquarters.

#	SITE	ACRES	ZONING	OWNERSHIP	MILES TO CITY CENTER	MILES TO 746 DILIGENCE DR	CRITERIA FIT	PATH TO CONTROL
1	591 City Center Boulevard, vacant land	14.93	C-2 General Commercial	Private institutional owner (healthcare system affiliate)	under 1	about 1	Meets all	Direct negotiation: purchase or long-term ground lease

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2	City Center Expansion Area, east of City Center between Canon Blvd and Rock Landing Dr	38 total; 10 to 15 carve-out	C-4 Oyster Point Business District	City of Newport News / Economic Development Authority	0	about 1	Meets all	Public disposition: proposal to EDA, council approval
3	Jefferson Avenue at Bland Boulevard, remainder of former Ferguson campus	about 12, in two parcels	Commercial (confirm district after boundary line adjustment)	Private corporate owner (national retailer)	about 3	about 3	Meets, farther from City Center	Direct negotiation once owner's store opens and parcels are recorded

3. Location



Site meets all criteria · Site meets criteria, farther out · VNG office, 746 Diligence Dr · Reference point

Schematic; positions approximate. Dashed line is I-64.

4. Site 1: 591 City Center Boulevard

PARCEL	ACREAGE	ZONING
Newport News parcel 183-00-01-29	14.93 acres, entirely vacant	C-2 General Commercial; office by right. Rezoned for a medical office campus that was never built.

OWNERSHIP	ACCESS	UTILITIES
Single private owner, a regional healthcare system's real estate affiliate. Acquired November 2016 and held vacant since.	City Center Boulevard frontage; I-64 via J. Clyde Morris Boulevard, about two minutes.	Municipal water, sewer and natural gas in City Center Boulevard; capacities to be confirmed in due diligence.

PROXIMITY	AMENITY	CAPACITY
Under a mile to City Center at Oyster Point; about 1 mile to 746 Diligence Drive; about 1.5 miles to Port Warwick.	Walkable to City Center restaurants, Marriott and Town Center retail; Tech Center and Jefferson Lab adjacent.	Supports 120,000 to 160,000 SF of office with surface parking, or 80,000 to 100,000 SF plus a secured fleet yard, with land to spare for a future pad.

Assessment. The strongest match to VNG's criteria. A single vacant parcel, already zoned for office use, at a City Center address, within a mile of the existing office, with no demolition or remediation. The owner has held it idle for nearly a decade and has no announced plan for it, which supports either an outright purchase or a long-term ground lease; a carve-out that leaves the owner a future medical pad is available as a negotiating tool. **Status:** owner identified; outreach to the owner's finance and legal leadership has begun; parcel file (assessment, site plan history, wetland and resource protection buffers, utility stubs) ordered.

Due diligence items. Title and the 2016 deed; wetland delineation and Chesapeake Bay Preservation Area buffers; stormwater; geotechnical; traffic impact at City Center Boulevard; confirmation of C-2 permitted uses and any proffers from the earlier rezoning.

5. Site 2: City Center Expansion Area

LOCATION	ACREAGE	ZONING
East of City Center at Oyster Point, between Canon Boulevard and Rock Landing Drive	About 38 acres publicly held; a 10 to 15 acre employment-anchor parcel would be carved out	C-4 Oyster Point Business District; mixed-use, commercial and employment uses by right
OWNERSHIP	**ACCESS**	**UTILITIES**
City of Newport News and its Economic Development Authority	Canon Boulevard and Rock Landing Drive; I-64 via J. Clyde Morris Boulevard	Municipal services in adjacent streets; extensions and phasing to be set in the city's master plan for the area
PROXIMITY	**STATUS**	**CAPACITY**
Adjacent to City Center; about 1 mile to 746 Diligence Drive; about 1.5 miles to Port Warwick	One of twelve priority sites the city marketed at its October 2025 development summit; the city is seeking proposals	A 10 to 15 acre carve-out supports the same program as Site 1

Assessment. Equal to Site 1 on address, amenity and zoning, and the city has said publicly that it wants employment-generating development here. The difference is process and time: a public disposition runs through a proposal to the Economic Development Authority, conformance with the City Center master plan, and City Council approval, so 9 to 18 months to a signed agreement is realistic against 60 to 120 days with a private owner. Public ownership also opens the door to performance-based incentives that a private sale does not. **Status:** conversation opened with the Department of Development; request made for the summit site book and the city's preferred disposition structure.

Due diligence items. Master plan conformance and design standards; infrastructure phasing and cost sharing; parcel configuration and frontage; incentive eligibility; timeline to council action.

6. Site 3: Jefferson Avenue at Bland Boulevard, former Ferguson campus remainder

LOCATION	ACREAGE	ZONING
12470, 12490 and 12500 Jefferson Avenue at Bland Boulevard; I-64 Exit 255	About 12 acres in two parcels, the remainder after a 20.23-acre retail warehouse parcel is carved from the 32.37-acre campus	Commercial; confirm district on the two remainder parcels once the boundary line adjustment is recorded
OWNERSHIP	**ACCESS**	**UTILITIES**
Private corporate owner, a national retailer that acquired the campus in July 2025 for its own store	Jefferson Avenue and Bland Boulevard frontage; direct I-64 interchange access	Fully served former corporate campus; existing buildings being demolished for the owner's store
PROXIMITY	**AMENITY**	**STATUS**
About 3 miles north of City Center and of 746 Diligence Drive along Jefferson Avenue	Patrick Henry Mall and Jefferson Commons retail within walking distance; the owner's new warehouse club and fuel station next door	The owner's permit record states the remainder parcels are held for future sale; the store is scheduled to open November 2026

Assessment. The only other Newport News site with interstate access, commercial zoning and retail amenity in walking distance. It meets the acreage and zoning criteria and sits three miles up Jefferson Avenue rather than at City Center, so it ranks third on location. Its advantage is certainty of disposition: the owner has already told the city it will sell the remainder. Timing is the constraint; the owner is unlikely to transact before its store opens and the parcel split is recorded. **Status:** owner's real estate development group identified; outreach begun; letter of interest to be placed on file so VNG is first in line when the parcels are released.

Due diligence items. Final parcel configuration and acreage after the boundary line adjustment; cross-access and shared stormwater with the retail parcel; traffic improvements required under the owner's conditional use permit; confirmation of zoning district on the remainder.

7. Comparative evaluation against VNG criteria

CRITERION	SITE 1: 591 CITY CENTER BLVD	SITE 2: CITY CENTER EXPANSION	SITE 3: JEFFERSON AT BLAND
Acreage 10 to 15	14.93, vacant	Carve-out sized to need	About 12
Proximity to City Center and Port Warwick	Under 1 mile	Adjacent	About 3 miles
Proximity to 746 Diligence Dr	About 1 mile	About 1 mile	About 3 miles
Restaurants and shopping nearby	City Center, walkable	City Center, walkable	Patrick Henry Mall, Jefferson Commons
Office or commercial zoning by right	C-2	C-4	Commercial; confirm after parcel split
Interstate access	I-64 via J. Clyde Morris	I-64 via J. Clyde Morris	Direct, Exit 255
Site readiness	Vacant, served, no demolition	Infrastructure phasing with city	Available after owner's project and parcel split
Speed to control	60 to 120 days, private owner	9 to 18 months, public process	After late 2026 store opening
Incentive potential	Standard city and state programs	Public land; performance agreement possible	Standard programs

Recommendation. Pursue Site 1 as the primary target and Site 2 in parallel as the public alternative. Running both keeps the private owner's price disciplined and gives VNG a fallback that the city has already said it wants to see developed as an employment anchor. Hold Site 3 as the third option with a letter of interest on file; it costs nothing to be first in line and it becomes the live alternative if City Center pricing moves beyond VNG's range.

8. Work in progress and next steps

1. **Owner outreach, all three sites.** Underway. Site 1 through the owner's finance and legal leadership; Site 2 through the Newport News Department of Development; Site 3 through the owner's eastern real estate development group.

2. **Parcel files.** Assessment, title, site plan and rezoning history, wetland and resource protection buffers, and utility stubs for Sites 1 and 3; master plan and infrastructure phasing for Site 2. Civil engineering partner engaged.

3. **Program confirmation with VNG.** Headcount to be housed, fleet and materials yard requirement, parking ratio, and any operations functions that would travel with the headquarters. This fixes the acreage carve-out for Site 2 and the building footprint for all three.

4. **Letters of interest.** Non-binding letters to the owners of Sites 1 and 3 within 30 days of program confirmation; formal expression of interest to the Economic Development Authority for Site 2 in the same window.

5. **Incentive review.** City of Newport News and Virginia Economic Development Partnership programs applicable to a headquarters relocation on each site, with Site 2's public-land structure evaluated separately.

6. **Site visits.** Walk all three sites with VNG facilities and operations leadership; a half day covers the three, which sit within a four-mile stretch of Jefferson Avenue and City Center Boulevard.

9. Basis of this survey

Parcel acreage, zoning and ownership are from City of Newport News assessor and planning records, City Council and Economic Development Authority actions, and recorded permit files. Distances are approximate driving distances. Building capacity figures assume two- to three-story office at a 0.25 to 0.35 floor area ratio with surface parking at 4 spaces per 1,000 square feet. Utility availability is stated from street frontage and prior use and must be confirmed with the utility providers. Nothing in this survey constitutes an offer, and no site is under contract. Prepared by CIVITAS CRES for Virginia Natural Gas.

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Date